

ALPHA TRANSPORT INC.



FINANCIAL STATEMENTS AND ACCOUNTANT'S COMPILATION REPORT

For the Six Months Ended December 31, 2024





Alpha Transport Inc.
PO Box 16615
Salt Lake City, UT 84116

Management is responsible for the accompanying financial statements of Alpha Transport Inc. (a corporation), which comprise the balance sheet as of December 31, 2024, and the related statement of income and expense for the six months then ended in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

Generally accepted accounting principles require that a provision for uncollectible accounts receivable be recorded. The Company has not recorded such a provision for uncollectible accounts receivable in the accompanying financial statements, and the effects of this departure from generally accepted accounting principles have not been determined.

Management has elected to omit substantially all of the disclosures and the statement of cash flows required by accounting principles generally accepted in the United States of America. If the omitted disclosures and the statement of cash flows were included in the financial statements, they might influence the user's conclusions about the Company's financial position, results of operations, and cash flows. Accordingly, the financial statements are not designed for those who are not informed about such matters.

Larson & Company PC

Salt Lake City, Utah
April 18, 2025

Alpha Transport Inc.
Balance Sheet
December 31, 2024

Assets

Current assets

Cash in bank	\$ 138,732
Petty cash	705
Short term investments at market	178,325.51
Holmes Murphy cash collateral	955,169
Accounts receivable	2,459,097
Accrued interest receivable	29,541
Inventory - tires	16,511
Inventory - truck parts	323,117
Inventory - fuel	60,247
Prepaid insurance	197,545
Clearing accounts	126,086
Total current assets	<u>4,485,077</u>

Property, plant and equipment

Trucks and trailers	35,767,093
Light trucks and construction equipment	327,852
Leasehold improvements	1,235,278
Office equipment	891,284
Shop equipment	532,009
Blue Sky/goodwill	3,193,182
Less accumulated depreciation	<u>(20,267,917)</u>
Net property, plant and equipment	21,678,781

Income tax receivable	688,674
Captive investment	<u>25,000</u>

Total assets	<u><u>\$ 26,877,532</u></u>
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Alpha Transport Inc.
Balance Sheet
December 31, 2024

Liabilities & Stockholders' Equity

Current liabilities

Accounts payable	\$ 1,771,155
Wages payable	881,289
Payroll and sales taxes payable	1,967
Vacation payable	215,220
Property tax payable	5,700
Mileage tax payable	110,097
Deferred tax liability	2,648,270
Current portion treasury stock purchase	455,313
Current portion notes and contracts payable	<u>2,065,333</u>
Total current liabilities	<u>8,154,344</u>

Long term debt

Notes and contracts payable	9,733,901
Note payable - treasury stock purchase	<u>4,679,744</u>
Total long term debt	<u>14,413,644</u>

Total liabilities	22,567,989
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Stockholders' equity

Capital stock authorized 500,000 shares of \$1.00 par value; 8,280 shares issued and outstanding	8,280
Beginning retained earnings	4,854,469
Current retained earnings	<u>(553,205)</u>
Total stockholders' equity	<u>4,309,544</u>

Total liabilities & stockholders' equity	<u><u>\$ 26,877,532</u></u>
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Alpha Transport Inc.
Statement of Income and Expense
For the Six Months Ended December 31, 2024

Income	
Freight revenue and shop sales	\$ 22,851,452
Land and equipment rental	44,288
Interest income	45,516
Gain (loss) on investment	(95,557)
Investment income unrealized	4,678
Investment income realized	3,561
Total income	<u>22,853,938</u>
Cost of sales	<u>806,165</u>
Gross profit	22,047,773
Expenses	
Salaries, wages and related taxes	10,700,270
Operating expenses	7,647,751
Administrative expenses	1,944,569
Depreciation	2,060,131
Interest	448,317
Total expenses	<u>22,801,038</u>
Net income from operations	(753,265)
Other income	
Income tax expense	<u>(200,060)</u>
Net income after tax	<u><u>\$ (553,205)</u></u>